Fed suggests rate cuts remain more likely than not

The Federal Reserve held rates steady, but continues to project 25bp rate cuts in both 2026 and 2027 as they seek to optimise policy to deal with upside price risks from energy, set against a jobs market that has cooled and faces more headwinds

US Federal Reserve Chair Powell at today's press conference explaining why rates remain on hold

Fed believes in the productivity boom

There is nothing particularly surprising from the Federal Reserve outcome. A "no change" decision with a target range of 3.5% to 3.75% with only Stephen Miran dissenting by voting for a 25bp cut. Everyone else wanted stable rates, but the Fed continues to think a rate cut this year is more likely than not. The Fed appears prepared – for now – to look through a near-term energy price shock, believing that this won't become a broader, more persistent inflationary problem that needs action.

The accompanying statement acknowledges that "uncertainty about the economic outlook remains elevated. The implications of developments in the Middle East for the U.S. economy are uncertain". Chair Powell also heavily emphasised the problems with making projections in the current challenging situation, but he believes economic activity remains "solid". For now, though, the updated forecasts show they have retained the 2026 rate cut they had from their December update and continue to have a further 25bp rate cut in 2027.

Interestingly, they have revised up GDP growth a touch for fourth quarter 2026 to 2.4% year-on-year versus 2.3% while their fourth quarter 2027 GDP growth prediction is now 2.3% versus 2.0%. 2028 is also up, while, perhaps most significantly, the Fed revised its long run GDP projection to 2% from 1.8%, suggesting they are buying into the productivity boosting effects of AI/technology investment. After all, their inflation forecasts have only been revised a little higher for this year (2.7% vs 2.5% previously for the core PCE deflator in fourth quarter 2026 with fourth quarter 2027 0.1 percentage point higher at 2.2% with 2% retained for 2028. Unemployment forecasts are little changed with long run Fed funds revised up 0.1pp to 3.1%.

Greater chance inflation is indeed “transitory” this time round

It looks as though the Fed are adopting a similar stance to 2021 when they believed inflation would be “transitory” during a supply shock, and they needn’t raise rates. However, back then robust hiring, soaring wage growth, pent-up demand coming out of lockdowns and stimulus checks meant consumer spending jumped significantly and inflation spiralled higher. The Fed then had to play catch-up, hiking rates 525bp between March 2022 and July 2023.

Today, the labour market is in a far weaker position with job creation and real household disposable income stalling over the past six months. At the same time, confidence has been eroded by tariff worries and job security fears, so there isn’t the same demand impetus to fuel inflation. While tax refunds are expected to be quite substantial this year (around $4000 on average versus $3200 last year), we would likely need to see a larger fiscal boost, such as stimulus checks, to generate enough demand that would entrench inflation pressures and trigger Federal Reserve rate hikes. Chair Powell did suggest that the possibility that the Fed's next move could be a hike came up in discussion, but the "vast majority" don't see that as being the base case.

We think there is a greater chance that today’s energy shock is demand destructive in that households have less discretionary spending power. This should diminish the chances of broader, more persistent inflation. Moreover, the second part of the Fed’s dual mandate of preserving price stability and maximising employment is facing greater challenges. The 92,000 drop in February non-farm payrolls and the 69,000 downward revisions to jobs for January and December suggest the Fed may have been premature in downplaying the risks to jobs at the January FOMC meeting. If the jobs market was stalled when the economy was looking in decent shape, an overlay of heightened geopolitical, economic and market angst is not going to incentivise business to suddenly start hiring now.

In an environment where monetary policy is still viewed as being mildly restrictive, we continue to forecast two 25bp rate cuts for 2026. One in September and one in December, which is in line with the Fed’s projection, albeit a little earlier.

USD: Fed ambiguity leaves FX market entirely oil-dependent

We had identified this FOMC announcement as an upside risk event for the dollar – but there was simply not enough guidance (and crucially, no changes to the Dot Plot) for the dollar to react very aggressively. We are incidentally cautious in drawing longer-term conclusions for FX from this meeting. The Fed is explicitly warning there is a high degree of uncertainty and offering no guidance for now on what the inflation-activity balance could look like.

All this leaves some freedom for markets to keep guessing the policy response based on geopolitical and oil price developments. But for now, that doesn't seem to matter for the USD more than the oil price and broader risk sentiment swings themselves at this stage.

If anything, some early signs the Fed is inclined to look through this inflation bump and still expects to cut this year reinforce our call for a weaker USD into year-end. We have recently updated our FX forecasts and views, and discuss here how our baseline for EUR/USD can change in alternative war/commodities scenarios.

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Energy markets brace for a prolonged supply disruption

There are few signs of de-escalation or a resumption in energy flows from the Persian Gulf. The market is having to reprice the duration of ongoing supply disruptions. We have updated our scenarios for oil and gas markets

Markets are increasingly bracing for prolonged supply interruptions from the Persian Gulf

Signs point to a more prolonged disruption

Energy markets are having to continuously price in a more prolonged disruption to oil and gas flows through the Strait of Hormuz, with little sign of de-escalation or a resumption in oil and LNG flows through the key chokepoint.

A more prolonged disruption means that we are only likely to continue to see producers reduce upstream production as they try to manage storage constraints. Further upstream shut-ins will only prolong a return to normal, even if the Strait of Hormuz reopens, as it will take time to ramp up production. Up until now, around 8m b/d of crude oil production has been shut-in, according to the International Energy Agency.

Furthermore, energy infrastructure in the region is vulnerable to attack, and there have already been multiple strikes, whether intentional or not, on refineries and ports, while there have also been attempted strikes on upstream assets. Clearly, any prolonged outage due to attacks will only add to the time it takes to see a normalisation in oil and LNG supplies from the Persian Gulf.

While the US administration has touted the idea of insurance guarantees and naval escorts, neither has materialised yet. There have been suggestions that naval escorts could start by the end of March, which means significant disruptions are likely to persist at least until then. Escorting commercial vessels through the Strait of Hormuz would leave naval ships vulnerable to attack, and so the US may hold off from such action until it feels that Iran's ability to launch attacks on vessels has been eroded.

Supply responses are limited for oil and gas

The sheer scale of the oil supply disruption makes it difficult for the market to find an adequate solution. After considering oil flows diverted by pipeline to avoid the Strait of Hormuz, as much as 15m b/d of oil flows are still disrupted.

OPEC's spare capacity is of little use when oil is not flowing through the Strait, given that almost all spare capacity sits in the Persian Gulf.

The temporary easing of US sanctions on Russian oil aims to allow Russian floating oil at sea to find buyers, and while helpful to Indian and possibly some other refiners in Asia, it is unlikely to significantly offset Persian Gulf supply disruptions.

Meanwhile, the record 400m barrels coordinated release from IEA member countries also helps in the short term, but it is a temporary solution and so will only have a short-term effect on the market. 400m barrels will cover a little over 25 days of supply being disrupted at the moment, but this oil will flow out of government reserves at a much slower pace, and for Europe and the Americas, these releases will only start towards the end of March, so again, not enough to offset the Strait of Hormuz losses.

While we are also likely to see a supply response, particularly from the US, it will be too little too late. Additional supply from the US would likely take at least six months to come online, and the volumes will be a fraction of the losses we are currently seeing. The EIA recently published its latest US crude oil output forecasts for 2026 and 2027. Despite developments, the agency still expects US crude output to be largely flat for 2026. However, 2027 output estimates were revised up by around 500k b/d from previous forecasts.

For the global LNG market, there is even less flexibility on the supply side, with the disruption in Persian Gulf flows hitting around 20% of global LNG trade, and hard to offset. There is new capacity ramping up in the US this year, but at just 15bcm of annual capacity, it falls short of the 110bcm of annual production currently disrupted. For gas and LNG markets, the only real solution in the short term is to balance the market with demand destruction.

Our new base case sees higher energy prices

At the start of the war, in our base case we assumed a two-week full disruption to energy flows through the Strait of Hormuz and then a gradual recovery over the remainder of March, which would have led to near-normal flows by April. That was clearly too optimistic, with us now in the third week of the conflict and no signs of energy flows resuming. We have therefore had a hard rethink of our scenarios, along with our base case.

In our new scenario 1, which is our base case, we assume that Strait of Hormuz flows remain cut off until the end of March, which corresponds with the view that intense combat between the US-

Israel and Iran continues until the end of the month. This is followed by lower intensity strikes, along with more signs of diplomacy, which start to allow for a gradual recovery in energy flows in the second quarter. Over this time, upstream production, refineries and LNG facilities start to slowly ramp up as storage constraints start to ease. However, it would only be by the start of the third quarter that we see a return to near-normal flows. This is assuming that available pipeline capacity continues to be used for some oil to bypass the Strait of Hormuz. This would help reduce the burden on any potential naval escorts that we could see in the weeks and months ahead.

Our new scenario 2 is our most optimistic scenario, where we assume that energy flows through the Strait of Hormuz remain almost fully disrupted until the end of March and gradually improve in April. This would allow supply to be back to near normal by May. However, we would need to see some fairly quick de-escalation under this scenario, along with a quick ramp-up in both oil and LNG supplies. This may be too optimistic, considering that it would take time for ramp-ups to occur and ensure vessel availability for loadings.

Our new scenario 3 is our more aggressive scenario, where the intensity of the war continues into April, followed by a lower-grade confrontation for the foreseeable future, while there are few signs of diplomacy. Continued attacks on vessels navigating the Strait of Hormuz mean energy flows remain disrupted for a prolonged period. In addition, there is limited damage to energy infrastructure in the region, adding to the slower normalisation in energy supplies from the Persian Gulf.

Under this scenario, energy flows remain at almost a full standstill until the end of May, before gradually recovering between June and August. Oil prices spike to record highs under this scenario, and prices will need to remain elevated to balance the market through demand destruction, given the limited solutions on the supply side.

Our new scenarios amid Persian Gulf supply disruptions

		Oil supply lost (m barrels)	Brent forecast (US$/bbl)					Natural gas supply lost (bcm)	TTF forecast (EUR/MWh)				
			1Q26	2Q26	3Q26	4Q26	FY26		1Q26	2Q26	3Q26	4Q26	FY26
Scenario 1 (base case)	**Disruptions persist until the end of Q2 (Full disruption in March and gradually better through second quarter)**	**851**	**76**	**91**	**85**	**77**	**82**	**17.3**	**39**	**50**	**38**	**38**	**41**
Scenario 2 (optimistic)	Full disruption through March and gradually better through April	690	76	85	79	71	78	14	39	40	33	34	37
Scenario 3 (long war)	Full disruption until end of May followed by slow recovery until August	2,070	76	120	115	105	104	42	39	80	65	60	61

Source: ING Research

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THINK Ahead: ECB hikes, Fed cuts? Don't bet on it

In all the turmoil, investors now expect the European Central Bank to hike rates more than once this year at a time when the Federal Reserve is cutting. Does that really make sense? It's not unprecedented, but the bar for the ECB and BoE to hike rates this year is high, writes James Smith. It's a central bank bonanza next week and here's our guide to all the action


An extended energy shock will see the ECB more likely to hike than the Fed and EUR/USD starting to find some support

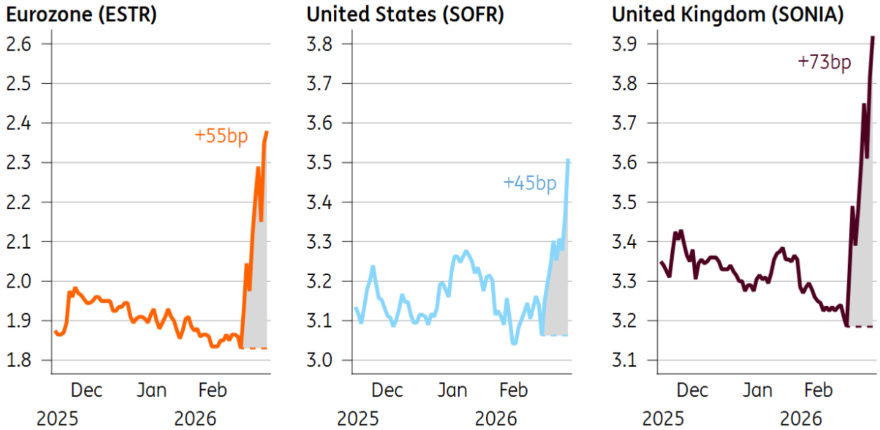
ECB hikes, Fed cuts? Don't bet on it

Will the Federal Reserve really be cutting rates as the European Central Bank – and Bank of England for that matter – are raising them?

If it sounds unlikely, then this is exactly what markets are pricing. Things are bouncing around. But investors still roughly see one rate cut from the Fed this year while an ECB hike is priced in by July. Markets are flirting with a BoE rate hike, too. The chart below shows how the repricing since the start of the Iranian conflict has been particularly severe in Europe.

Interest rate expectations have risen further in Europe

Implied one-month rate in one year (1Y1M swap)
Change since 27 February



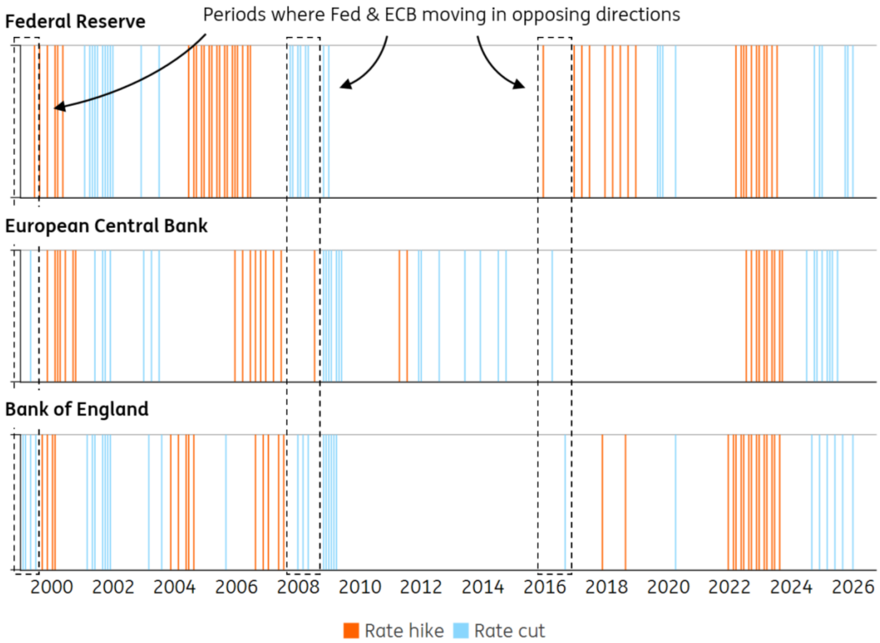
Source: Macrobond, ING

As of 12 March close

A peculiar proposition, though certainly not unprecedented. The ECB was cutting as the Fed was hiking in 1999 and again briefly in 2015/16. And let's not forget the infamous Trichet rate hike in July 2008, long after the Fed and BoE had started cutting. Of course, there have been plenty of times when one side of the Atlantic is changing policy and the other has kept things unchanged.

Still, it's unusual to have a situation where Frankfurt and Washington are pushing in opposite directions. And to be honest, we're sceptical.

It's unusual for the Fed and ECB to go opposite ways



Source: Macrobond, ING

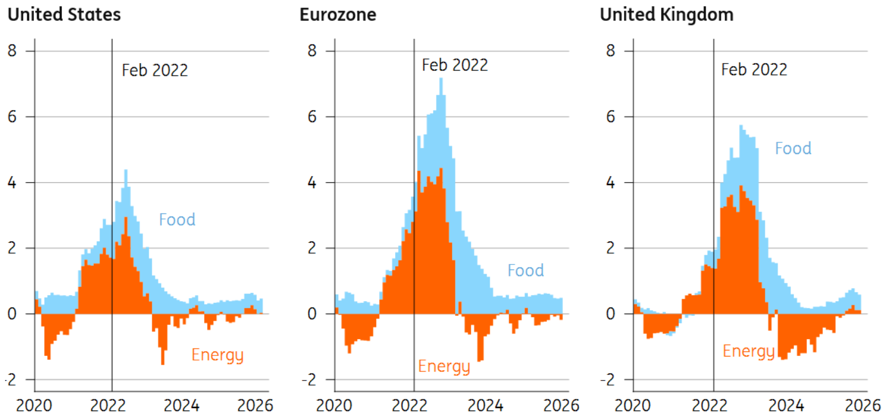
But it's worth thinking about how this situation could come to pass this year. The most obvious rationale would be the difference in objectives. The Federal Reserve explicitly has a dual mandate, one where it must balance price stability against full employment. In Europe, the focus is on the former – even if in practice the two are closely intertwined.

Then there's the fact that US interest rates are still widely considered to be above neutral, even if not by much, unlike the eurozone where 2% rates are seen as neither expansionary nor contractionary for the economy. The centre of gravity is lower for the Federal Reserve than it is for the ECB; it can, in theory, cut rates and still retain some restriction.

What's really happening here, though, is that investors seem to be applying the 2022 playbook to the current crisis. Back then, inflation on both sides of the Atlantic surged. But the drivers were very different. Where energy-independent America saw inflation spike on the legacy of domestic Covid-era stimulus and acute hiring challenges, in Europe energy prices played a much larger role.

Check out the contribution to headline inflation over that period from energy (petrol/gasoline and household electricity/heating costs) and food (which is heavily affected by the cost of energy).

Contributions to headline CPI (YoY%)



Source: Macrobond, ING

But this is not 2022.

I wrote last week about how things have changed an awful lot in the global economy since then, leaving it less vulnerable to a re-run of the protracted inflation spike we saw at that time. This is true on both sides of the Atlantic. If anything, the fact that the US is running hot on AI spending – something Europe is clearly not – could make it a touch more exposed to inflationary pressures emanating from the domestic economy.

And Europe's relationship with energy has changed dramatically, too.

I urge you to read my colleague Warren's full article on this. But in short: Europe now consumes a lot less gas, uses plenty more renewables and is no longer exposed to the loss of a single dominant supplier in the way it was when Russian supplies were disrupted in 2022. Nor is Europe going to buy up gas as frantically as it did that year, either.

In short: we don't think the Fed is going to be cutting rates at the same time the ECB or BoE are hiking. Not unless this energy shock gets really bad – by which I mean natural gas prices would probably have to shoot much higher than they have done. Then there is a conceivable scenario where European central banks feel compelled to hike rates to burnish their inflation-fighting credentials, even if all this achieves is amplifying the growth hit already coming down the track.

That's not the scenario we find ourselves in just yet. So which is wrong: the Fed cut or the ECB/BoE hike thesis? We'd argue it's the latter.

Admittedly, there's no historical precedent for the ECB cutting into an energy price shock. Carsten runs through the history of Frankfurt's thinking on supply shocks in his preview of next week's meeting. But it also feels like the bar for a hike is high in the current macro environment. I think the same is true here in Britain. As I say in my preview, the reaction of the hospitality sector to big government policy changes in 2025 – where firms cut workers but didn't really raise prices – may well be mirrored in the fallout of the Iran conflict.

As for next week though, the central banks are likely going to keep all their options open. Like the rest of us, they have no idea when this disruption ends. The ECB can hide behind the fact its new forecasts, released with the decision, will be heavily outdated on arrival. And though the Fed might push back its one forecasted rate cut into 2027, it can also point to uncertainty – both globally, but also domestically, after that shocker jobs report last week.

Central banks don't always agree. And they don't always do the same thing. But to go in opposite directions is a rare step. And not one that feels likely right now.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

- **Rate Decision** (Wed): After cutting rates 75bp over the final three policy meetings of 2025, the January FOMC meeting saw the Federal Reserve adopt a slightly more hawkish stance by removing the comment "downside risks to employment rose in recent months." The February jobs report suggested this may have been a little premature with payrolls falling 92,000 with 69,000 of downward revisions to December and January and the unemployment rate rising to 4.4%. Nonetheless, the Fed is widely expected to leave monetary policy unchanged for a second meeting given the decent growth backdrop and the prospect that inflation moves back above 3% on energy price developments. We will get new forecasts from officials as well. The December update had one rate cut pencilled in for 2026. There is a clear risk it gets pushed back to 2027.

Eurozone (Carsten Brzeski)

- **Rate Decision** (Thur): The ECB is set to keep policy unchanged next week, but the recent surge in oil prices and the escalating conflict in the Middle East mean any discussion of rate cuts is off the table. The shock has revived painful memories of 2022, when the ECB underestimated the persistence of energy driven inflation. While today's backdrop is less alarming, the Governing Council will want to avoid repeating past mistakes. Expect a firmer, more hawkish tone, with strong emphasis on vigilance and a willingness to act if second round pressures re emerge. Lagarde's "good place" remains intact for now, but the panic room is open.

United Kingdom (James Smith)

- **Rate Decision** (Thur): Higher energy prices have rendered a March rate cut highly unlikely. And the Bank is likely to keep its options open next week, awaiting clarity on how long the crisis is likely to last. The key question is the vote split; we expect 7-2 in favour of no change, but a greater number of officials voting for a cut would be a dovish surprise.

Canada (James Knightley)

- **Rate Decision** (Wed): The Bank of Canada will leave the policy rate unchanged this week given the inflationary impulse from higher energy costs. In any case, the press release accompanying the January decision suggested they felt the policy stance was appropriate, with excess supply in the economy offsetting any inflationary threat from US-Canada trade tensions.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Jan current account** (Mon): We forecast a slight improvement in current account deficit (12-month rolling) to 0.6% of GDP vs. 0.7% of GDP at the end of 2025 as the secondary income deficit and trade deficits narrowed. We estimate that exports, in euros, fell by 3.4% year-on-year and imports by 4.8% YoY. The external imbalance remains low.
- **Feb industry** (Thu): Following a decline in January, we project a bounce back in industrial output in February in annual terms as the negative calendar effect abates (same number of working days as last year) and weather conditions probably had a less severe impact on activity, especially towards the end of the month. Producers' prices continued to decline. We forecast a 2.4% YoY drop in PPI, but the current energy crisis may lift the index in the months ahead.
- **Feb construction** (Thu): The beginning of 2026 was difficult for construction and, given still-low temperatures and snow in many parts of the country, we expect construction activity to have fallen in annual terms, but not at a double-digit pace as was the case in January. The contribution from value added in construction to 1Q26 would be negative as businesses are unlikely to catch up after the poor first two months of the year.
- **Feb labour** (Thu): After upward surprises in late 2025, wage growth resumed its downward trend in January. We project the February reading at a similar pace, slightly above 6% YoY. The minimum wage went up by only 3% YoY from January 2026 and wage growth in the public sector was also low. The National Bank of Poland surveys indicate that businesses are more reluctant to hike wages. At the same time, we assess that the employment decline deepened to 0.9% YoY after falling by 0.8% YoY a month earlier.

Czech Republic (David Havrlant)

- **Rate Decision** (Thur): Industrial producer prices likely maintained their annual decline, while we may already see some impact of the increasing Brent crude price in February. The current account likely improved at the start of the year, as global demand was still in decent shape. The Czech National Bank will have to consider the recent turmoil in the Middle East and the elevated crude and natural gas prices. Given that the Czech economy finds itself in a relatively favourable position, the CNB can afford to wait and see for quite some time. The right answer to an external negative supply shock is stability in interest rates for some time.

Armenia (Dmitry Dolgin)

- **Rate Decision** (Tue): We expect the policy rate to remain unchanged at 6.50%. CPI rose by 0.5ppt to 4.3% YoY in February, moving further away from the long-term target of 3%. Recent activity indicators suggest momentum remains strong, fiscal policy is still supportive (3.7% of GDP deficit in 2025), and bank lending growth continues to outpace funding.
- The outbreak of war in the Middle East adds new risks for Armenia, including imported inflation from energy and food (around 30% of imports, net of one off effects) and the possibility of capital outflows due to weaker regional risk appetite. These factors argue for maintaining a cautious monetary policy stance.

Uzbekistan (Dmitry Dolgin)

- **Rate Decision** (Wed): We expect the policy rate to remain unchanged at 14.00%, despite the dovish commentary at the previous meeting. Since the end of January, domestic inflation has increased by 0.3ppt to 7.5% YoY. Key activity indicators point to acceleration, and money supply growth, one of the CPI precursors, has reached a multi year high of 40%.
- Uzbekistan remains largely insulated from the adverse consequences of the Middle East conflict thanks to strong gold exports and a resilient soum. However, risks from potential portfolio outflows and moderate imported inflation (food and energy account for around 20% of imports) should still be considered.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 16 March		
US	1315	Feb Industrial Production (MoM%)	0.0	0.7
Canada	1230	Feb CPI (MoM%/YoY%)	0.5/1.7	0/2.3
	1230	Feb Core CPI (MoM%/YoY%)	-/-	0.2/2.6
Netherlands	0530	Jan Trade Balance	-	9.7
		Wednesday 18 March		
US	1215	ADP weekly employment change (000s)	10	15.5
	1230	Feb PPI (MoM%)	0.3	0.5
	1400	Jan Factory Orders (MoM%)	-0.5	-0.7
	1800	Fed Funds Target Rate (Upper Bound)	3.75	3.75
Eurozone	1000	Feb CPI Final (YoY%)	-	2.4
Canada	1345	BoC Rate Decision	2.25	2.25
		Thursday 19 March		
US	1230	Initial Jobless Claims (000s)	215	213
	1400	Jan New Home Sales (mn)	0.8	0.75
Eurozone	1315	Mar ECB Refinancing Rate	2.15	2.15
	1315	Mar ECB Deposit Rate	2.00	2.00
UK	0700	Jan Unemployment Rate	5.3	5.2
	0700	Jan Employment Change (000s)	-25	52
	0700	Jan Average Weekly Earnings (3M YoY%)	3.9	4.2
	0700	Jan Average Weekly Earnings ex Bonus (3M YoY%)	4.0	4.2
	1200	BoE Rate Decision	3.75	3.75
Sweden	0830	Riksbank Rate	1.75	1.75
Switzerland	0830	SNB Policy Rate	-	0.00
		Friday 20 March		
Eurozone	0900	Jan Current Account SA (EUR bn)	-	14.6
	1000	Jan Total Trade Balance SA (EUR bn)	-	11.6
Italy	0900	Jan Global Trade Balance (EUR bn)	-	6.0
Canada	1230	Jan Retail Sales (MoM%)	0.3	-0.4

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 16 March		
Turkey	0800	Feb Budget Balance (TRY bn)	-	-214.5
Poland	1300	Jan Current Account (EUR bn)	0.3	-1.7
	1300	Jan Core Inflation (YoY%)	2.6	2.7
	1300	Feb Core Inflation (YoY%)	2.5	2.6
Czech Rep	0800	Feb PPI (MoM%/YoY%)	0.1/-2.8	-0.7/-3.0
	0900	Jan Current Account Balance (CZK bn)	38.4	8.5
Kazakhstan	-	Feb Industrial Production (MoM%)	-	-6.6
		Tuesday 17 March		
Croatia	1000	Feb CPI Final (YoY%)	3.4	3.4
Armenia	0800	Policy rate decision	6.50	6.50
		Wednesday 18 March		
Russia	1600	Feb PPI (MoM%/YoY%)	-/-	-2.5/-5
Poland	0900	Mar Consumer Confidence	-	-9.1
Uzbekistan	0800	Rate Decision	14.00	14.00
		Thursday 19 March		
Poland	0900	Feb Employment Growth (YoY%)	-0.9	-0.8
	0900	Feb Industrial Output (YoY%)	1.3	-1.5
	0900	Feb PPI (YoY%)	-2.4	-2.6
	0900	Feb Wages (YoY%)	6.4	6.1
Czech Rep	1330	CNB Rate Decision	3.50	3.50
Ukraine	1100	NBU Rate Decision	-	15.00
		Friday 20 March		
Russia	1030	Rate Decision	15.00	15.50

Source: Refinitiv, ING

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Disclaimer

Fed to delay rate cuts as war clouds the outlook

The Middle East conflict will push up prices, but it will also likely harm US growth and job prospects. We see this as a Fed rate-cut delayed rather than removed story, unlike 2022 when a demand shock, combined with a supply shock, fuelled inflation and led to rate hikes

We expect the Federal Reserve to remain on hold on 18 March. We see rate cuts as being delayed

Rising inflation constrains the Fed

The outlook for Federal Reserve policy changes has been upended by events in the Middle East. Financial markets have swung from anticipating two 25bp rate cuts this year to now pricing in barely one. Markets are solidly backing a no-change outcome on Wednesday, 18 March and we agree.

The military action in Iran and the resulting reluctance of shipping to navigate the Strait of Hormuz has led energy prices to spike higher. While the US itself gets very little crude oil from the Persian Gulf and is self-sufficient in natural gas, prices for oil are set globally. We are already seeing US retail gasoline prices up above $3.60 per gallon with the real prospect of the national average pushing imminently towards $4.25/gallon. This will put up supply and distribution costs, with airline fares also likely to push higher. The longer that the disruption lasts, the greater the chance it lifts prices in other sectors, including fertiliser, food prices and the cost of plastics. In consequence, we are now looking at inflation moving towards 3.5% by the summer, well above the 2% target.

The impact on growth and jobs is less clear-cut at this stage. The ISM business surveys for February were at levels historically consistent with 3% GDP growth, but the news on jobs is not as rosy. The

February jobs report showed the economy shed 92,000 jobs with the unemployment rate rising to 4.4%, suggesting the Fed's decision to remove the assessment that "downside risks to employment rose in recent months" from the January FOMC statement, was premature. A ramping up of geopolitical and economic uncertainty is not going to help bring better news on jobs and will do little to boost activity outside the US' energy sector.

Fed to signal a delay to rate cuts

Given this situation, we will be closely watching the Fed's new forecasts. In December, the Fed were pencilling in one rate cut in 2026 with one further 25bp cut in 2027. There is huge uncertainty over how long and how intense the conflict and the disruption will be, so the Fed will have little conviction in their forecasts. Fed Chair Powell will be certain to underline the challenges in setting policy in this situation at the press conference. Nonetheless, we suspect they will trim growth marginally, push up their inflation forecast and then delay the 2026 rate cut until 2027.

ING's expectations for updated Federal Reserve forecasts

	2025	2026	2027	2028	Longer run
Change in real GDP (4Q YoY%)	**2.0**	**2.2**	**1.9**	**1.9**	**1.8**
Previous Fed projection (Dec)	1.7	2.3	2.0	1.9	1.8
Unemployment rate (% year end)	**4.5**	**4.4**	**4.2**	**4.2**	**4.2**
Previous Fed projection (Dec)	4.5	4.4	4.2	4.2	4.2
Core PCE inflation (4Q YoY%)	**2.9**	**2.7**	**2.2**	**2.0**	**-**
Previous Fed projection (Dec)	3.0	2.5	2.1	2.0	-
Federal funds rate (year end)	**3.6**	**3.6**	**3.1**	**3.1**	**3.0**
Previous Fed projection (Dec)	3.6	3.4	3.1	3.1	3.0

Source: Macrobond, ING

Risks still skewed towards lower rates

We have been forecasting two rate cuts for September and December, but as the market has already done, we acknowledge the risk is that they are delayed into next year. While the Fed has a dual mandate of price stability and maximising employment, a central bank needs to defend its inflation credibility, and it is difficult to justify rate cuts when inflation is above target and rising further away from it.

The Fed's position in early 2022 was that inflation is transitory during a supply shock, and they needn't raise rates. However, robust hiring, soaring wage growth, pent-up demand coming out of lockdowns and stimulus checks meant consumer spending jumped significantly and inflation spiralled higher. The Fed then had to play catch-up, hiking rates 525bp between March 2022 and July 2023.

Today, the labour market is in a far weaker position with job creation and real household disposable income stalling over the past six months. At the same time, confidence has been eroded by tariff worries and job security fears, so there isn't the same demand impetus to fuel inflation. This should mean inflation is indeed "transitory" this time around.

Instead, we suspect that today's energy shock risks being demand destructive, which ultimately leads to lower core inflation. If there was an equity market correction, then the demand destruction would be all the greater. Consequently, we continue to have a bias to lower Fed funds rates over the next 12-18 months.

While tax refunds are expected to be quite substantial this year (around $4000 on average versus $3200 last year) we would likely need to see a larger fiscal boost, such as stimulus checks, to generate enough demand that would entrench inflation pressures and trigger Federal Reserve rate hikes. Bond markets would undoubtedly take fright, in part due to concern over higher debt levels and in part due to inflation worries and this would ignite talk of highly damaging 1970s-style market dynamics. Hence, we see this as a low probability event.

Will the Fed comment on the stickiness in the effective funds rate? Really they should

Since the Fed re-commenced T-bill buying in mid-December 2025, they have bought a cumulative US$165bn. Overall, the Fed's holdings of all securities (including bills) are up US$130bn, to US$6.26tn. That has coincided with a rise in bank reserves, by US$180bn, to just over US$3tn (helped by a moderate spend down in the Treasury cash balance). Given the net US$130bn of balance sheet expansion, the Fed should be disappointed that the effective funds rate has not eased lower, even if only by a few basis points.

Remember, the effective funds rate used to trade just 8bp above the funds rate floor, and the ratchet higher to 14bp through September/October 2025 prompted the policy of renewed T-bills buying in the first place. The back-story saw bank reserves dip below US$3tn, and repo had shown a marked tendency to tighten, with bank reserves at sub-US$3tn. That repo tightness, in a relative value sense, was the genesis of the rise in the effective funds rate. Rate cuts have dominated, of course, but the issue is the rise in the effective funds rate within the (25bp) funds rate range.

The effective funds rate has refused to budge from the 3.64% level. And by the way, that's just 1bp below the rate paid on reserves (3.65%). It's actually tough to get to 3.65%, as then eligible counterparties have a choice between two windows (reserves vs funds rate). It should not go above, though. Whether the Fed comments on this or not is an open question. It does deserve a question from the reporters though. They tend not to go there, but really they should. Efficient market functioning is an important base to have in times like these.

In terms of wider rates, and in particular, direction for bonds – the Fed is getting a feed of higher nominal yields, higher real yields and higher inflation breakevens. That combination is hardly one that is conducive to rate cuts. In fact, every leg of it argues that a hold makes the most sense. And, for now at least, we will likely see more of the same. A 10yr yield in the 4.3% to 4.5% range is entirely possible before real yields finally cave and commence a journey back down.

Fed caution should keep the dollar supported

As around the whole world, the Middle East energy shock has prompted a hawkish re-pricing of short-end US interest rates as doors seem to close on easing cycles. While the adjustment in US rates has been less than in many other parts of the world, that has had little effect on the dollar. The macro shock of higher energy prices is by far the largest driver of currency trends now, while rate differentials have temporarily fallen away in importance.

That probably means that a mildly hawkish FOMC meeting on Wednesday, where the Fed pushes the median 25bp cut back to 2027 from 2026, will not have an outsized reaction on the dollar. However, a Fed leaning into the risk of higher energy prices, even as the US jobs market seems to be holding up, will be mildly dollar supportive. Certainly, the re-pricing of the Fed cycle has compounded the energy shock faced by Europe, Asia and most emerging markets. This has upended the narrative of a benign decline in the dollar this year.

As long as energy prices stay high or go higher, it is hard to see the dollar handing back this month's gains. The only big supply of dollars we could see in this environment could come from the official sector, where Japan looks likely to intervene in USD/JPY above 160. Joint US-Japanese FX intervention to sell USD/JPY would be a surprise and trigger a broader dollar correction. But unless energy prices reverse, FX intervention would just be an exercise in containment.

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Pharma's Godfather moment: pulled back into tariff uncertainty

The US Supreme Court invalidated President Trump's use of emergency authority to impose tariffs. Yet, we believe that Most Favored Nation (MFN) deals with pharmaceutical companies will hold, although additional US investments could be postponed until after the current transition period

Michael Corleone, whose iconic line echoes pharma's return to uncertainty after the latest tariff twist

'Just when I thought I was out…'

Just as 16 branded pharma companies struck investment deals with the Administration – trading MFN pricing for a temporary reprieve on tariffs – the US Supreme Court ruling marked the start of a messy transition period. In response, the Administration invoked Section 122 of the 1974 Trade Act, which permits tariffs of up to 15% for as long as 150 days, with the possibility of extensions.

Crucially, pharmaceuticals fall under enumerated exceptions, meaning the tariff does not apply to them. Yet the renewed uncertainty feels familiar. As Michael Corleone puts it in *The Godfather Part III*: "Just when I thought I was out, they pull me back in."

We expect MFN deals to hold

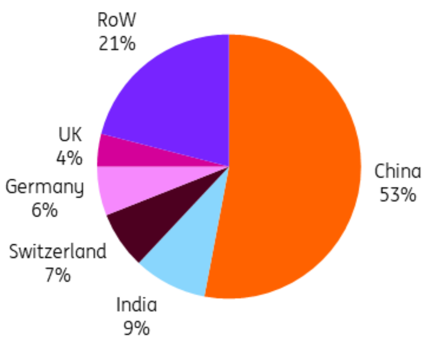
In spite of the messy transition period, we expect MFN deals to hold. This means that more investment in US manufacturing will happen, but it may be delayed until there is legal certainty surrounding tariffs. Furthermore, the US government is unlikely to renege on its commitments to the branded pharma space, because TrumpRx and MFN have been touted by the Administration.

In addition, the sector is increasingly seen as integral to national security, which means there is a significant incentive to keep manufacturing and innovation close to home.

Tariff on generics will remain zero

For the generic sector, where the supply chain mostly sits in Asia, we expect the tariff rate to remain zero. It would be political suicide to levy tariffs on generic pharmaceuticals because the supply chain will not relocate as a result of the tariff threat, which would mean higher drug prices. And since 91% of all US prescription drugs are generics, these effects would be felt quickly. Moreover, this Administration has committed itself to lower drug prices.

The US imports more than half of its pharmaceuticals from China

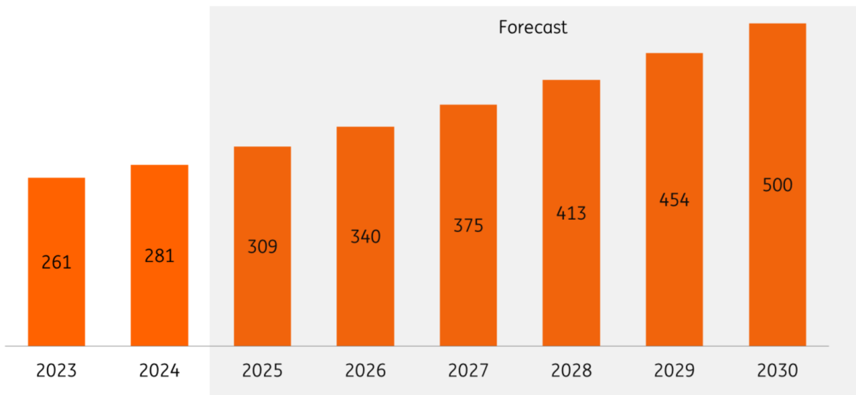


Source: United Nations Commodity Trade Statistics Database; BMI; ING

CDMOs are beneficiaries

As we have written about before, the net beneficiaries of these uncertain times are CDMOs who offer a way out of uncertainty. As companies can use CDMO capacity to localise their manufacturing, this is why we expect high single-digit CDMO growth until 2030.

Global CDMO market to experience strong growth until 2030



Source: ING forecast based USD and Grandview Research

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Rethinking transatlantic power: Why trade dependencies cut both ways

The transatlantic debate often frames Europe as overly dependent on the United States, often ignoring the fact that Europe also holds some important cards. However, before getting overly enthusiastic about a stronger European stance in possible new trade negotiations, Europe should address some construction flaws in its own trade bazooka

The EU's Ursula von der Leyen with President Trump in Scotland last year

Beyond American dominance

When it comes to trade relations and negotiations, the US is often portrayed as the superpower, using tariffs as threats to extract favourable outcomes. You could easily see this pattern during the first round of EU-US trade negotiations, which resulted more or less in *damage control* for Europe rather than a mutually beneficial agreement.

Following the Supreme Court ruling restricting President Trump's use of the International Emergency Economic Powers Act (IEEPA) as well as new tariff threats during the Greenland conflict, uncertainty about new US trade actions resurfaced. Contrary to the negotiations last summer, the EU has taken a tougher stance, freezing ratification of the current deal and contemplating retaliatory trade actions.

Is this new stance simply a 'whistling in the dark' phenomenon, or has the EU fundamental reasons to take a more aggressive stance vis-à-vis America?

Trade volume is not everything

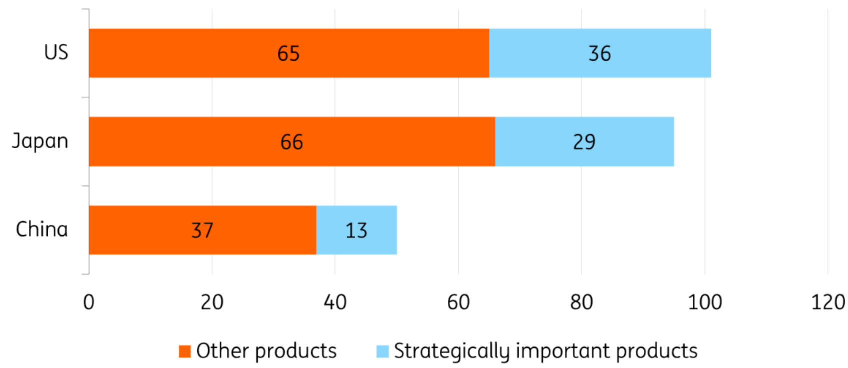
The fact is that the US and EU remain deeply intertwined through trade. In 2025, the European Union was the largest foreign supplier to the United States, accounting for USD 633 billion in exports and 19% of total US imports, according to the US Census Bureau. In the other direction, the United States supplied around 14% of all extra EU imports, underscoring the depth of the transatlantic trade relationship.

However, economic leverage in trade does not so much stem from how much a country exports, but rather from how easily those exports can be replaced. Highly complex, scarce or strategically sensitive goods, such as critical raw goods, complex machinery or patent-protected pharmaceuticals, typically have a low short-term substitutability, so buyers cannot easily switch to alternative suppliers. This limited substitutability increases the economic cost of trade disruptions, thus raising the exporter's bargaining power.

The notion of substitutability has several distinct dimensions, which we define and categorise in line with the approach developed by CEPII. Simply speaking, a country's trade vulnerability depends on how many suppliers it relies on, whether it could switch to others globally or produce the good itself, and how long-lasting and strategically critical that dependence is. The fewer the alternatives and the more essential the sector – think chemicals, pharmaceuticals, steel, defence, transport or electronics – the greater the risk if supply chains break down.

Europe's hidden leverage: Where global economies rely on the EU

Number of product lines where countries depend on EU suppliers (2024)



Key notes

Strategic important products are defined as the chemical, pharmaceutical, steel, defence, transport, and electronic products, where supply disruptions can have outsized economic and security implications.

Based on the CEPII methodology, we identify 468 EU and 462 US import dependencies out of 4400 product lines, of which respectively 129 and 119 are deemed strategically important. The EU's exposure is heavily skewed towards China, which accounts for 63 strategic product dependencies (50% of all strategic dependencies), while US-based dependencies amount to only 17 products, or about 14% of the EU total.

By contrast, US dependencies are mainly split between China (48 products or 40%) and the EU (36 products or 30%). Based on this analysis, the US depends more on the EU (36 products) than the EU does on the US (17 products).

Within this landscape, country level heterogeneity is pronounced, with the three largest EU economies accounting for the majority of identified dependencies (22 out of 36). Germany stands at the centre, accounting for 13 of the 36 EU linked import dependency product lines. These dependencies are concentrated in areas that closely align with Germany's industrial strengths: chemicals and pharmaceuticals.

Renewed tensions and tariff threats spark retaliatory discussion

New tensions resurfaced after President Trump threatened to "cut off all trade with Spain" following Madrid's refusal to grant access to its military bases. At the same time, tariff uncertainty is rising again, with Section 122 rather than IEPPA in play for broad based tariffs under a strict 150 day timeline, while Section 301 investigations were initiated just this week. EU lawmakers will reconvene on March 17 to decide whether to unfreeze the ratification process of the current US-EU trade agreement.

EU leaders also discussed the potential activation of the Anti Coercion Instrument (ACI), the EU's so far unused "trade bazooka." The ACI would allow Brussels to impose retaliatory measures, potentially including export controls, which could cause substantial economic damage.

Politically, however, the ACI is contentious: France is the loudest advocate of activating it, while Germany would be hit the hardest by any export-related retaliation due to its industrial structure and trade exposure. Or in other words, Europe would probably hit the US economy more by limiting its exports of advanced chemicals or pharmaceuticals rather than of wine and cheese. This asymmetry immediately raises questions about intra-EU compensation for companies affected by any export restrictions under the ACI. A topic that has not been discussed in public so far and which would be a clear test case for European solidarity if the ACI was ever activated.

A more assertive Europe?

The EU recently also strengthened its global trade footprint with the preliminary enforcement of the Mercosur trade agreement and the EU-India agreement. While both deals hold meaningful long-term potential and signalling power that Europe does not stand still, they are still far from matching the scale or economic weight of the US market.

In any upcoming discussions between the US and the EU, both sides should carefully consider how their economies are intertwined and how quickly this can turn into a point of friction, harming both sides. Any renewed trade tensions could easily spill over into other policy areas.

A closer look at the trade dependencies between both blocs shows that Washington has more to lose than is often assumed. At the same time, however, Europe should ensure that its tools are actually functional to avoid a trade bazooka suddenly turning into a water gun due to internal political constraints.

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Why the bar is high for the Bank of England to hike rates

We expect the Bank of England to keep rates on hold at its 19 March meeting. Financial markets are increasingly pricing a rate hike this year. But the economy looks very different to when the 2022 energy shock arrived. We think rate cuts are still more likely than hikes, though we could be in for a long pause should energy disruption linger

The Governor of the Bank of England, Andrew Bailey, speaking last month

The Bank of England will be sensitive to the energy price spike

Out of all the central banks, it's tempting to say that the Bank of England is going to be among the most sensitive to the rise in energy prices. That's certainly the way markets see it.

The repricing to short-term interest rate expectations has been more dramatic for the UK than the eurozone or especially the US. Investors have swung from pricing 50bp of easing in 2026 on the eve of the Iran conflict, to 20bp of rate hikes now. The memories of the 2022 inflation spike are evidently still fresh.

As things stand, if the current price levels endure, we think we'd see inflation spike to around 3.5% by late summer. And that's before we consider the knock-on effects beyond petrol/diesel and household energy bills.

Yet we think the bar for the Bank to actually hike rates is high. The economic backdrop is very different to 2022. The jobs market is considerably weaker. Vacancy rates are well below pre-Covid levels, and the drop has been more acute than in other developed economies. Wage growth is falling, not rising as it was four years ago.

Back in 2022, the UK economy was also still riding the tailwind of Covid-era fiscal stimulus. It was aided by significant government support, chiefly the £2500 household energy cap, which, together with other measures, amounted to 2% of GDP in FY2022.

This time, fiscal policy is a headwind; the deficit is falling this year, driven by the freeze in tax brackets. Meanwhile, the government's ability to respond as it did in 2022 is heavily diminished. 10-year bond yields are more than 3 percentage points higher than they were at the time of the Ukraine invasion. And the same is true more or less everywhere; the UK economy isn't going to ride on the coattails of fiscal stimulus elsewhere, as it was able to four years ago.

2025 is a better playbook than 2022

The problem in 2022 was that the spike in energy prices morphed into a surprisingly long-lasting and sticky bout of service-sector inflation. All of the above suggests the reaction this time will be more muted. And we think the way the economy reacted to last April's tax and minimum wage hikes is a case in point.

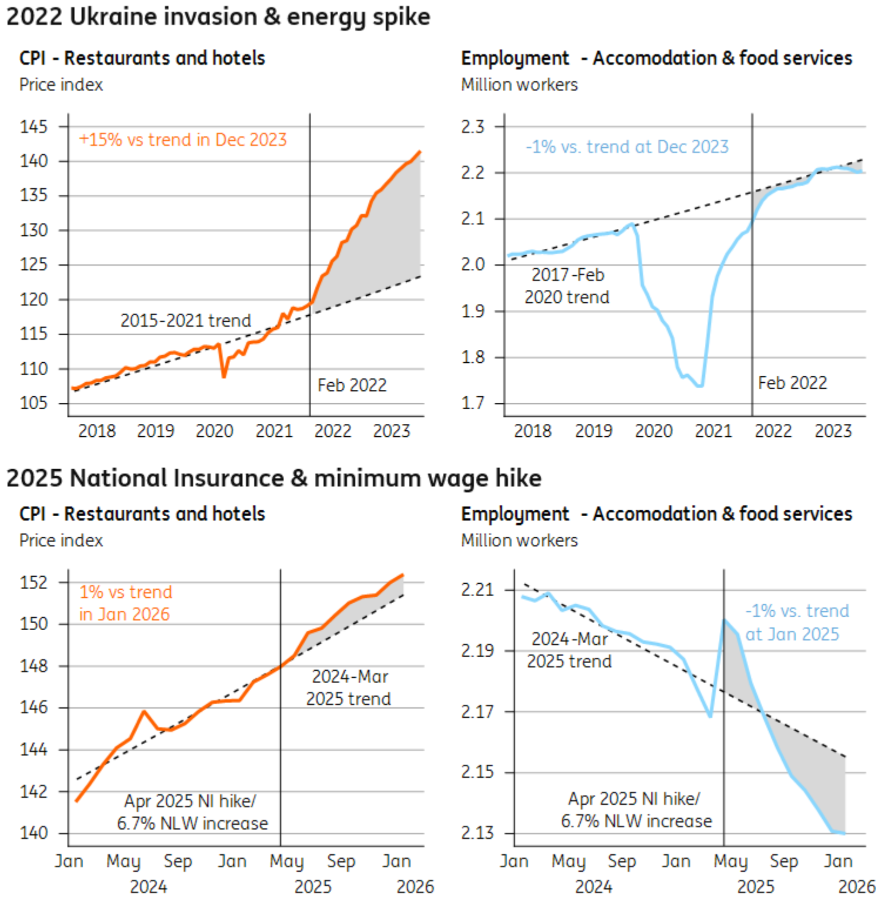
Take hospitality, a sector that bore the brunt of both the energy price spike in 2022 and last year's policy changes.

Four years ago, the sector dealt with higher energy bills by hiking prices, rising 15% above trend by late 2023, with minimal impact on employment. Sure, this also coincided with the post-Covid recovery and the staff shortages that came with it. But the sector found itself with some pricing power to pass on the cost hit without impacting jobs.

Last year, the story was very different. Faced with higher payroll taxes and a sharp rise in the National Living Wage, the sector shed jobs at a faster pace. Employment is 1% below the pre-April 2025 trend (a trend that was already pointing downwards). This was a sector that had found itself overstaffed post-Covid (evident in falling productivity), and those policy changes proved to be the catalyst for a reset. Arguably, this process has further to run, and the energy price shock will only amplify that.

Prices, by contrast, have shown very limited reaction. And remember, this all coincided with a period of higher food inflation, an issue for these catering businesses.

2022 vs. 2025: How the hospitality sector responded



Source: Macrobond, ING

Price data seasonally-adjusted by ING

That is just one sector, but an important one: it's often cited as a barometer for underlying economic performance and inflationary pressure. And it's an important reminder that the risk of second-round wage and inflation from shocks like higher energy prices is much diminished compared to 2022. Most BoE officials were increasingly reaching this conclusion too at the December and February meetings.

So where does that leave the March meeting? A rate cut is clearly off the table, where it had been looking highly likely before the Iran invasion. At a minimum, Governor Andrew Bailey, who would have likely had the deciding vote, will be minded to vote for a pause.

At this stage, it's too early to say anything sensible about the precise macro implications without knowing how long the conflict and closure of the Strait of Hormuz will last. And with no press conference or forecasts this month, we suspect the Bank will use the policy statement simply to play for time, with forward guidance that says any further rate cuts will depend on the evolution of energy prices and the impact on expectations.

The main question is how many officials do still vote for a cut. We suspect Swati Dhingra and Alan Taylor, both determined doves, will keep doing so. Our base case is for a 7-2 vote in favour of no change. If more officials vote for a cut, then that should help temper the rate hike pricing within markets.

Ultimately, we still think the next move in rates is more likely down than up. If by the time of the April meeting, energy prices have fallen back – say to 70-75 USD/bbl on oil and 35 EUR/MWh on gas – then we think there's a chance the Bank could still cut rates at that point. Such a scenario would point to headline inflation staying below 3%, which officials would be minded to "look through".

In a scenario where the disruption lasts longer, risking inflation closer to 4%, then the Bank will likely be more cautious. We suspect it would wait and see how firms react in surveys through the summer, on questions like wage growth expectations. That would point to a prolonged pause, but we think we could still see further easing later in the Autumn/into winter.

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Watch: Your oil questions answered

ING's Commodity Strategist, Warren Patterson, on the global oil crisis, the options for world leaders and the markets, and what's going to happen to crude prices as the conflict with Iran continues.

Warren has also written about world gas prices; click here for that

Your oil questions answered

The price of oil continues to fluctuate, with Brent crude sometimes passing $100 a barrel. That's despite the International Energy Agency announcing it would release a record amount of supplies. So what options are there, and what will it take for oil to return to the levels we saw before the conflict with Iran began? ING's Warren Patterson explains the Strait of Hormuz dilemma and what he expects to happen next.

Watch video

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Eurozone households are first to feel the pain of the current oil price shock

Fuel prices are surging again, and for many households, filling up now hurts almost as much as during the 2022 energy crisis

In some eurozone countries, the cost of a 50-litre tank of petrol has risen to levels last seen in 2022 when Russia invaded Ukraine

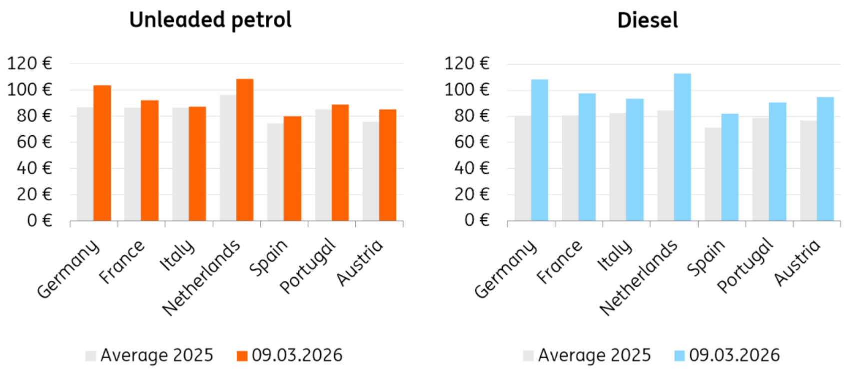
It's a fast-moving environment, which currently only allows to think in terms of scenarios rather than conviction calls. And while forecasters around the globe are currently grappling to adjust their macro forecasts – uncertain about how long the war in the Middle East and the disruption to the Strait of Hormuz will last – one part of the economy is already feeling the economic pain: households. More precisely, car-driving households. Any surge in oil prices is felt most immediately in one place – the petrol station.

Pain at the pump for European consumers

Our colleague Warren Patterson has written extensively on recent oil price developments and the possible scenarios ahead. We also know that it takes a while for the full macro impact of higher energy prices to unfold. Industrial companies typically hedge (at least some of) their energy purchases in forward markets, while households' utility contracts usually run for one or two years. This was, for example, one of the reasons why during the 2022 energy crisis, it was energy companies that ran into financial trouble first, as they were unable to pass on higher procurement costs to end consumers. One place where consumers are not shielded by hedging strategies or longer term contracts, however, is at the petrol station.

Even before oil prices reached this week's painful highs, the jump in retail fuel prices had already pushed the cost of a standard 50 litre tank of petrol to levels last seen in 2022 in several major eurozone economies. Compared with the week before the joint US Israeli strike on Iran, the price of a tank of unleaded petrol has risen by between €4.50 in Italy and €13.00 in Germany. For diesel, the increase has been even steeper, ranging from €8.40 in Italy to €21.50 in Germany. Relative to the 2025 annual average, German households have been hit particularly hard: they are now paying roughly €17.00 more per tank of unleaded petrol and around €28.00 more for diesel than they did on average last year. Dutch households are facing a similarly sharp increase in fuel costs.

Cost of filling a 50-litre tank with unleaded petrol or diesel

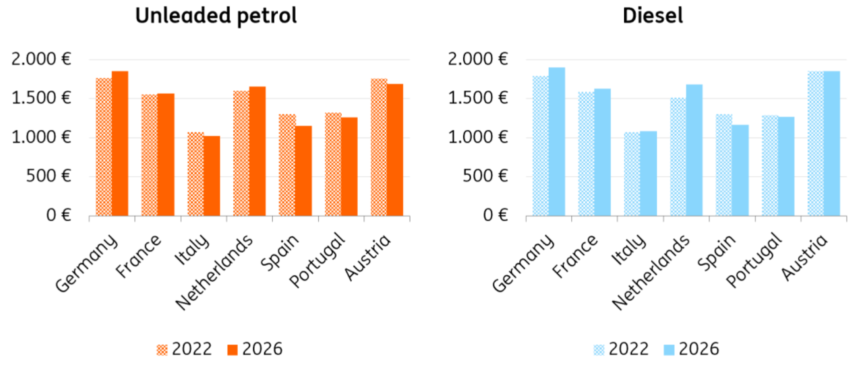


Source: European Commission; ING Economic & Financial Analysis

The fact that prices within the eurozone, and across fuel types, vary widely in general is also due to excise duties, for which there is a minimum threshold of €0.359 per litre of unleaded petrol and of €0.330 per litre of diesel set by the EU. However, most member states have set higher values, resulting in an average excise duty on petrol of €0.570 per litre and of €0.468 per litre on diesel. At €0.845 per litre, the duty on unleaded petrol is highest in the Netherlands, while at €0.673, Italy has the highest duty on diesel. These tax differentials are the main reason why two households facing the same global oil price can still experience very different fill up costs.

The extent to which these price increases cut into household budgets also depends heavily on how much people drive per year. At almost 14,000 kilometres, Austria tops the 2023 list – the most recent date for which comparable data is available, followed by Germany with around 12,500 kilometres per year. This means the same price increase hits Austrian and German households much harder than, for example, Italians, who drive only around 8,000 km per year.

Average annual fuel expenses



European Commission; Odysee Mure; ING Economic & Financial Analysis; based on an average fuel consumption of 7.35 liters per 100 kilometers; 2026 is based on the assumption that the price from the 10th calendar week will apply for the rest of the year.

Looking at driving behaviour in recent years shows that cutting fuel costs by simply driving less is unlikely. Significant deviations from the long term average only occurred during the pandemic years, when widespread working from home arrangements reduced the need to commute. Gasoline prices were not a motive. Since then, mileage patterns have started to normalise, suggesting limited scope for households to offset higher prices by changing their driving habits.

Ultimately, this implies that eurozone households will once again need to devote a larger share of their disposable income to fuel, with German households facing the largest increase. For them, the share of disposable income spent at the fuel pump is expected to rise to 3.5%, up from 2.8% last year. Overall, the share of disposable income devoted to fuel ranged from around 2% in the Netherlands and 4.5% in Portugal last year.

Drivers might slam the brake on any recovery in private consumption

Although we currently assume in our base case scenario that the impact of the war in the Middle East on markets, and thus on the eurozone economy, should not be long-lasting, the recent rise in energy prices is likely to put additional strain on consumer confidence, which is already markedly low. Given the old adage that gasoline prices rise like a rocket but fall like a feather, it is not just confidence that is being hit, but actual purchasing power.

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Article | 11 March 2026

ECB preview: Time for a panic room in the ECB's 'good place'

The war in the Middle East and the surge in oil prices revive memories of the ECB's more traumatic experience in recent times: the 2022 oil price shock. While we expect the ECB to remain on hold next week, a more hawkish tone should show that these 2022 memories are still very much alive

ECB President Christine Lagarde in Italy last week

We don't know if ECB President Christine Lagarde has a favourite actor, but if the run up to next week's meeting was turned into a Hollywood film, Jodie Foster would be our pick – not as Clarice Starling in *The Silence of the Lambs*, but as the mother hiding from burglars in a panic room. For the ECB, the war in the Middle East and rising energy prices are the intruders threatening Lagarde's 'good place'. The key question for next week is what Lagarde and the rest of the Governing Council decide to do from inside their own panic room.

Jodie Foster in Panic Room: a mirror for an ECB bracing against geopolitical and energy price intruders

War in the Middle East takes any rate cut discussion off the table

By the time the ECB meets on 19 March, the macro backdrop will have shifted markedly since the last meeting. With the conflict in the Middle East, the risk of inflation undershooting – and any discussion of further rate cuts – should be firmly off the table. Gone is a scenario in which a stronger euro could push down the ECB's own inflation forecasts for longer, leading to a more controversial debate on inflation undershooting and what it would mean for the ECB's credibility.

Oil prices were already rising, and the outbreak of war in the Middle East likely coincided with the cut off date for the ECB's latest forecasting round. But recent market moves will have rendered those projections outdated almost immediately. Like everyone else, the ECB can only work with a range of oil price scenarios. At this point, anything is possible – from a short-lived episode of higher oil prices and some supply chain frictions, to a full-blown energy crisis. The big question for the ECB is, therefore, no longer how to react to an inflation undershooting but rather how to react to another oil price shock.

Tackling oil price shocks has been an important challenge for global central banks since the 1970s. In the case of the ECB, the thinking about how to react to oil price shocks has clearly evolved over the last 25 years.

Phase 1 (1999–2004): "Don't repeat the 1970s". When the ECB was launched, oil prices had just hit a two-decade low but were beginning to rise. Back then, oil shocks were treated as exogenous, supply-side events. What mattered was the domestic response, particularly on wages and inflation expectations, and not so much the source of the shock. For the ECB, reacting to oil price shocks meant preventing second-round effects.

Phase 2 (2004–2008): "It's the source that matters". By the mid-2000s, the ECB's approach became more sophisticated, distinguishing between direct effects on consumer prices and disposable income, indirect effects through the pass-through of higher input costs, and the critical importance of avoiding second-round effects through "appropriate wage reactions." This tripartite distinction became the standard ECB analytical vocabulary for oil price shocks. The ECB also started paying attention to the source of oil price movements. Demand-driven oil price shocks in the eyes of the ECB asked for a much more hawkish reaction than supply-driven shocks. However, even this distinction did not prevent the ECB from making mistakes. In 2008, the ECB under President Jean-Claude Trichet hiked rates, attempting to avoid second-round effects, when the financial crisis was in full swing. A move that had to be corrected only a few months later.

Phase 3 (2010–2020): "Look through becomes consensus". In the 2010s, the ECB's view on how to react to oil price shocks took a turn. Based on academic work but also the deflationary or disinflationary episodes, not only the ECB but many major central banks started to look through oil price shocks, focusing on core inflation and inflation expectations. The reasoning was straightforward: oil price shocks had historically been short-lived, and tightening policy in response would likely push down on demand and inflation precisely as the shock was already reversing – amplifying rather than correcting the disruption. This "look through" doctrine was reinforced by the structural observation that the pass-through of oil price shocks to wages and core inflation had declined significantly since the 1970s and 1980s.

Phase 4 (2021–present): "The failed look through". The 2021-22 episode exposed the limits of the "look through" framework and generated a significant ECB rethink, both on substance and communication. In early 2021, the ECB applied the standard "look through" logic to the initial post-pandemic energy price surge. Inflation was described as "transitory", a word that became the label of a wrong assessment. Little did they know. Since then, the question is no longer just "is this an oil shock?" but: "what is the starting level of inflation? Are expectations already at risk? Is the shock compounding other inflationary pressures? How persistent is it likely to be?" ECB Executive Board member Isabel Schnabel signalled this new conditionality explicitly: "Monetary policy, for its part, cannot afford to look through energy price increases if they pose a risk to medium-term price stability." The look-through is conditional, no more automatic.

What do the lessons of the past mean for the current situation?

What do the lessons of the past now mean for the ECB's current reaction? We shouldn't forget that the 2022 misjudgement has been imprinted in the ECB's institutional memory since then. Whether or not it is the right approach, the 2022 experience will shape the current thinking.

Admittedly, this is not yet a 2022 environment as it is mainly a price shock and not a supply shock; Europe doesn't have to 'derisk' from a single energy provider. The labour market also isn't as strong as it was in 2022, with structural transitions and additional wage increases rather unlikely, the economy not going through a post-lockdown boom and governments more hesitant to provide new fiscal stimulus.

At the current juncture, the risk of a wage-price spiral looks small. Still, in a 'forever war' scenario of a longer-lasting disruption of the Strait of Hormuz, oil prices above $100/b for several months and knock-on effects on transportation, food prices, and more generally supply chains, are likely to force the ECB's hand and consider rate hikes. In such a scenario, one or two symbolic rate hikes could be enough to preempt any second-round effects and could strengthen the ECB's inflation-fighting credibility.

No rate change next week but a more hawkish tone

For next week's meeting, we don't expect any rate moves. The latest round of staff projections will be less relevant than normal, being just one of many input variables for the meeting. Who cares about some percentage point model-based revisions of inflation or growth forecasts if the oil price can move $30/b in a few minutes?

The ECB will, however, try to use its second most powerful policy instrument, words, to keep inflation expectations at bay. Sounding a bit more hawkish by, for example, stating that the ECB stands ready to act, is monitoring the situation very closely and would not refrain from any preemptive rate hikes, looks like the most likely outcome. In this context, we don't expect Lagarde to repeat the phrase 'good place'. There is still no reason for the ECB to panic – but installing a panic room within that 'good place' might not seem like such a bad idea for now.

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7 reasons why Europe can deal with a gas shock better than in 2022

Events in the Persian Gulf and the resulting LNG supply disruptions will give many in Europe flashbacks to 2022. However, we believe Europe is better placed now to weather this supply shock

Quatar Energy recently stopped producing LNG after drone attacks

Persian Gulf energy supply shock sparks flashbacks to 2022

Europe had just about shaken off memories of the 2022 energy crisis. Global energy markets were set to be well supplied through 2026, suggesting weaker energy prices this year. But this view has been upended by developments in the Middle East. While the supply impact from the disruption in Persian Gulf energy flows is significant, particularly if we are to see prolonged supply issues, we do not think this is a repeat of 2022 for Europe - the impact is expected to be lower.

We do not believe European gas prices will trade to the peaks seen in 2022; global gas markets are relatively better supplied, while a large pipeline of LNG export capacity is coming onto the market in the years ahead. That said, clearly, how high prices go will ultimately depend on how long supply disruptions in the Middle East persist. Expectations that gas prices will not reach the elevated levels of 2022 also suggest that electricity prices will be more contained.

In addition, Europe is relatively less exposed to the gas market, with the region having reduced its reliance. EU gas demand is 16% below pre-Russia-Ukraine war levels. Furthermore, the EU would have learnt invaluable lessons from the 2022 energy crisis, which leaves it better prepared to navigate any future supply shocks.

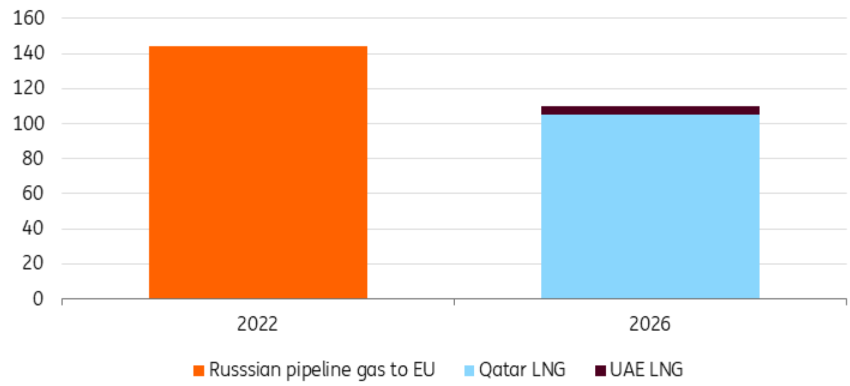
Here are seven reasons why we believe things are different this time for Europe.

1 The current energy shock should be temporary, 2022 was more structural for Europe

The amount of LNG disrupted by developments in the Persian Gulf is significant. Between Qatar and the UAE, roughly 110bcm of annual supply is currently affected, which is 20% of global LNG trade. The volumes are significant but still less than the 144bcm of Russian pipeline gas, which was at risk heading into 2022.

However, the key difference is that current supply disruptions are temporary. Yes, there is plenty of uncertainty about the duration of the disruption, but ultimately, supply will return. This is different from 2022, when the market was of the view that we were set to see a more structural shift in gas supply to Europe. Essentially, the market had the view that a loss in Russian gas supply would be final, with a very low probability that flows would ever resume.

2022 vs. 2026 gas supply disruptions-annual supply (bcm)



Source: Bruegel, ING Research
Note: Russian pipeline flows to the EU are 2021 volumes

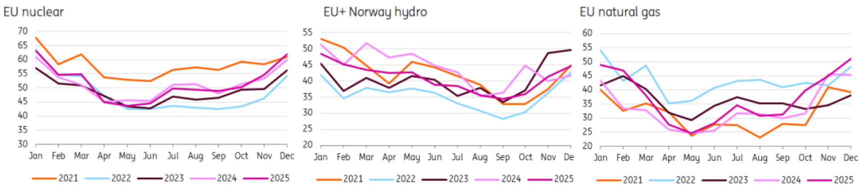
2 Europe faced a perfect storm in 2022

In 2022, it seemed that almost everything that could go wrong for Europe did. Not only was the region dealing with reduced gas flows from Russia, there was also uncertainty over further losses. But other sources of electricity generation also struggled.

The largest nuclear power producer in the EU, France, saw significant maintenance work carried out through much of the year due to corrosion issues, resulting in annual nuclear output falling to its lowest level since 1988 and 30% below the annual average over the last 20 years. Similarly, Europe was also having to deal with lower-than-usual hydro power output.

Lower nuclear and hydro meant the power sector had to lean more heavily on fossil fuels, including natural gas, for generation needs, at a time of significant supply uncertainty.

European power generation by selected source (TWh)



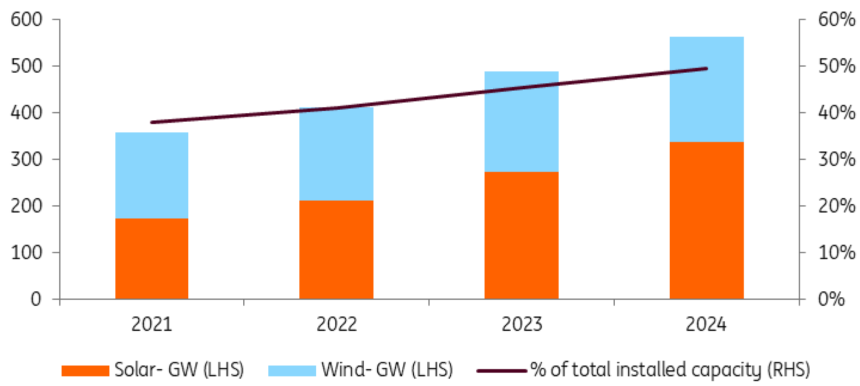
Source: Eurostat, ING Research

3 Installed renewables capacity in the EU has grown significantly

Renewables' capacity in the EU has also grown strongly since the end of 2021. Bloomberg New Energy Finance numbers show that installed capacity for solar and wind has surged by 57% between 2021 and 2024. Estimates suggest that capacity increased by a further 15% in 2025. This would have been supported by REPowerEU, the European Commission's plan to support energy transition and reduce the EU's dependence on Russian fossil fuels.

However, under the marginal pricing system in electricity markets, the highest-cost source of power sets the price, which is usually natural gas. This means stronger gas prices can still cause electricity prices to surge, even if gas power generation makes up a smaller part of the electricity mix. The European Commission is considering reviewing the system, though several member countries are pushing back against changing the current mechanism.

Installed renewables capacity has grown in the EU



Source: BNEF, ING Research

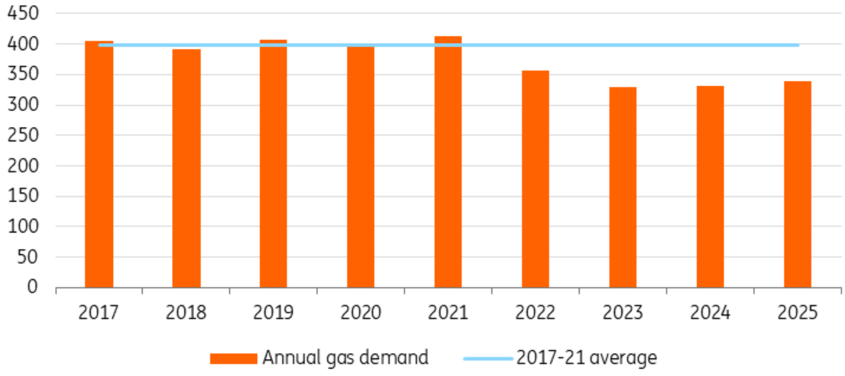
4 Europe has reduced its reliance on natural gas since 2022

From a demand perspective, the EU is also less reliant on natural gas supplies than it was prior to Russia's invasion of Ukraine. We have seen permanent demand destruction when it comes to natural gas following the energy crisis of 2022, and while gas demand has slowly edged higher since 2023, it is still 16% below 2017-21 levels.

The permanent loss in demand from the EU would be partly due to the ambitions of REPowerEU, but also to the lack of competitiveness of energy-intensive industries in Europe because of high energy prices. For example, the chemicals sector has seen production capacity fall by 9% since

2022.

EU natural gas demand well below pre-Russia-Ukraine levels (bcm)



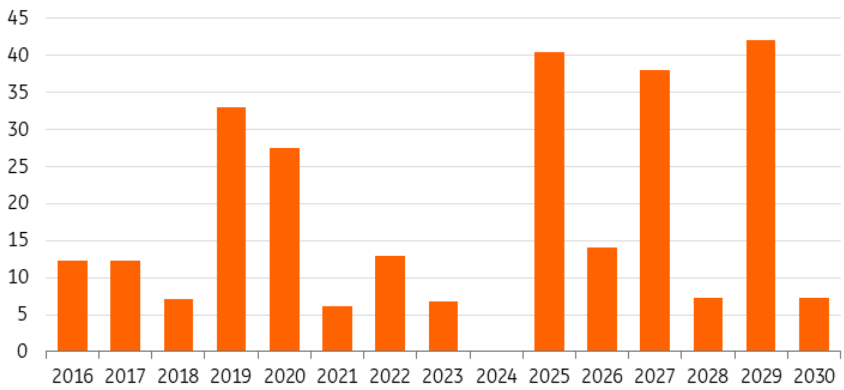
Source: Eurostat, ING Research

5 The pipeline of LNG export capacity is significant, a big change from 2022

The shift we saw from Europe in 2022 away from Russian pipeline gas towards LNG tightened up the global market significantly, leaving very little slack in the system and increasing competition for spot LNG supply. In addition, the pipeline of new LNG export capacity from the US was very thin around that time. Between 2021 and 2023, only around 25bcm of new capacity came online.

Currently, the loss of Persian Gulf LNG supply leaves the market tight. However, we do have a lot more LNG supply ramping up. Once again, this is driven by the US, where between 2025 and 2027, we have 93bcm of capacity additions. There is also around 42 bcm of capacity set to start up from Qatar by 2027. Although developments in the Persian Gulf mean that some of this capacity, which was set to start up in late 2026, will likely be pushed into 2027.

Significant US LNG export capacity additions in the years ahead (bcm)



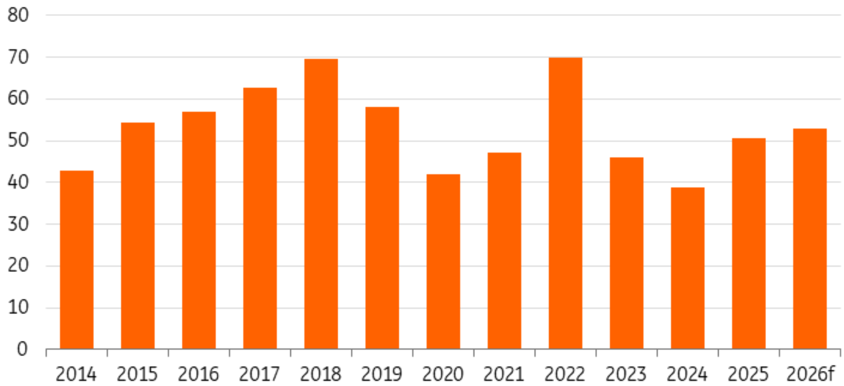
Source: EIA, ING Research

6 Europe has learnt a significant amount from the 2022 energy crisis (we hope)

One of the key drivers behind the surge in European natural gas prices in 2022 was the rush by European buyers to secure supplies, essentially buying gas at any cost. This led to the EU seeing significant net injections through 2022, in the region of 70bcm, compared to a 2017-21 average of around 55bcm. This was to ensure that the EU hit its 90% storage target by 1 November.

The EU has learnt important lessons from the 2022 energy crisis, and we are unlikely to see European buyers chasing the market higher to the degree we saw to ensure supply. Already in 2025, the EU made storage targets more flexible. While the 90% storage target remains, it can be achieved between 1 October and 1 December, and in unfavourable conditions, it could be as low as 75%.

EU net injections in 2022 hit record levels, unlikely to see a repeat in 2026 (bcm)



Source: GIE, ING Research

7 Joint gas purchasing should reduce internal competition

One of the issues in 2022 was not only that Europe was having to compete with other regions for LNG supplies, but European buyers were competing with each other for supply, which only added further upside to European gas prices.

As a result, the EU launched AggregateEU in April 2023, which essentially led to a more coordinated approach to gas buying; EU gas demand was pooled and then matched with supply offers. According to the EU, between April 2023 and March 2025, close to 100bcm of gas demand was matched with supply through the platform. However, this does not mean that European buyers bought this amount of gas, given that bilateral negotiations would have taken place outside the platform after matching.

The European Commission sees it as a useful tool in pooling demand, reducing price volatility, increasing bargaining power and reducing internal competition for supplies, given that the mechanism is now permanent, and since July 2025, it has operated under the EU Energy and Raw Materials Platform.

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